Class 18 — Values and Choice (CCSW Ch 5, 5*)

Talking points, not a handout. Reading: Ch 5. The formal results at the end are in Ch 5*.

Ch 5 is the metaethics chapter, and it sits oddly in the book: it is about whether the discipline can argue about values at all, and it is placed between Arrow's theorem and the chapters on liberty. The reason for the placement is §5.6, which is a methodological defence of the axiomatic method we have been using. Everything before §5.6 is the ground-clearing for that defence.

1 What the chapter is reacting against

The target is the New Welfare Economics (1939–50) and its attempt to find a value-free criterion. Hicks, quoted at p. 105:

> In fact, there is a simple way of overcoming this defeatism, a perfectly objective test which enables us to discriminate between those re-organizations which improve productive efficiency and those which do not. If A is made so much better off by the change that he could compensate B for his loss, and still have something left over, then the reorganization is an *unequivocal improvement*.

That is the Kaldor test from Ch 2, now being advertised as value-free. We already know from Lemma 2*f that it is formally broken: it is inconsistent with every possible CCR under some configuration of preferences. Ch 5 says the philosophical claim behind it is broken too. Worth making the pairing explicit since we did Ch 2 recently.

Sen's footnote 6 is the one-line kill: Hicks says the compensation "could" be paid, whether or not it is actually paid, and that re-introduces the interpersonal conflict he was claiming to have removed.

Samuelson gets the same treatment. He wrote that "the only consistent and *ethics-free* definition of an increase in potential real income of a group is that based upon a uniform shift of the utility possibility function for the group." Sen's footnote 7 puts him in a dilemma: if real income comparisons are value judgments, this is not ethics-free; if they are not value judgments, then this is not the *only* ethics-free definition.

2 Two different errors, and Sen only cares about one

Students will read §5.1 as a Hume's Law chapter. It mostly isn't, and the distinction is worth drawing on the board.

Error one, the is/ought gap. You cannot derive a prescriptive conclusion from exclusively factual premises. Sen cites Hare (1961) for this and notes in footnotes 4 and 5 that Black, Searle and his own 1966 paper have raised doubts about whether the law holds. He does not engage with those doubts, and he does not need to.

Error two, the unanimity fallacy. This is the one Sen actually goes after:

> For reasons that are somewhat obscure, being 'value-free' or 'ethics-free' has often been identified as being free from interpersonal conflict. The implicit assumption seems to be that if everyone agrees on a value judgment, then it is not a value judgment at all, but is perfectly 'objective'.

And the payoff sentence:

> Unanimous value judgments may provide the basis of a great deal of welfare economics, but this is so not because these are not value judgments, but because these value judgments are acceptable to all. This banality would not be worth stating had the opposite not been asserted or implied in much of the literature.

This explains something we left hanging in Class 16: why the Pareto principle got treated as beyond question. It is unanimous, and unanimity was being read as objectivity. The error is about agreement, not about logic.

A point Sen does not make, worth making. His argument in §5.1 does not depend on Hume's Law at all. Welfare economics issues recommendations, so its *conclusions* are evaluative, and that is enough. If it turned out that ought *could* be derived from is, welfare economics would not thereby become value-free; it would just mean value judgments were derivable. Either way they are value judgments. Sen half-sees this when he says the New Welfare Economics had "nothing to do with" the Hume's Law doubts, but he does not draw the conclusion.

3 Basic and non-basic

Sen's definition, p. 109:

> A value judgment can be called 'basic' to a person if the judgment is supposed to apply **under all conceivable circumstances**, and it is 'non-basic' otherwise.

So basicness is being defined modally: a judgment is basic if it survives every conceivable variation in the facts. The test is counterfactual. Ask the person "would you say the same if the poor were much poorer?" and see whether they revise.

His examples: "a rise in national income measured at both base and final year prices indicates a better economic situation" is probably non-basic, since most people will revise it if the distribution is bad enough. "I should not kill a human being" is basic for someone who will not revise it under any circumstances.

The three warnings at p. 110 are each worth a minute.

- The admissible circumstances need not be *probable* ones. Hence the exchange about whether mini-skirts cause cancer in the eye of the beholder. The judgment is non-basic even though the dispute would not be fruitful.
- A judgment conditional on circumstances is not shown non-basic by considering cases that violate the condition. "On rainy days I should carry an umbrella" is not refuted by sunny days.
- A set of judgments might be logically inconsistent, in which case not all can be basic. Sen separates judgments that conflict only under specific factual circumstances (at least one is non-basic, but not for analytical reasons) from ones that conflict analytically, like the kindly man who wants everyone to have an income above the national average.

3.1 The grounding reframe

The modal formulation is doing badly, and I think the right diagnosis is that Sen wants a hyperintensional notion and only has a modal one available in 1970. Reframe: a value judgment is **non-basic** for a person when their holding it is *grounded in* their holding some factual belief together with some further value judgment, and **basic** when it is ungrounded.

Four things this buys.

1. **It fixes the obvious counterexamples.** On the modal test, any judgment that happens to hold across all conceivable circumstances counts as basic, including ones that are plainly derivative. Take a basic judgment, conjoin a necessary truth, and the conjunction passes the test while obviously depending on something else. This is Fine's objection to the modal analysis of essence, transposed: necessary covariation cannot distinguish what explains what.
2. **It removes the need for the second warning.** Conditional judgments embarrass the modal test, which is why Sen has to patch it. On the grounding reading they are unproblematic: a conditional judgment can sit at the bottom of someone's structure without applying in every circumstance.
3. **It makes Sen's "constraining" move intelligible.** At p. 113 he says you can convert a non-basic judgment into a basic one by adding a suitable constraint, e.g. restricting the national income judgment to cases where the Gini is unchanged. On the modal reading this is just restricting the quantifier, which makes basicness look cheap. On the grounding reading you have changed which proposition is at issue, which is a more honest description of what happened.
4. **It dissolves Sen's asymmetry.** He claims at p. 113 that "some value judgments are demonstrably non-basic, but no value judgment is demonstrably basic", and treats this as deep. It follows directly from the modal formulation: you can falsify a universal claim with one case and never verify it. Under grounding, basicness is a positive structural fact about someone's commitments, and evidence can bear on it in both directions. The asymmetry is an artefact of the gloss.

The cost, and it is real. Sen's notion is explicitly person-relative: basic *to a person*, in *his* value system. Grounding-talk is usually not person-relative. So the reframe forces a choice between a psychologised grounding relation (what grounds what among this agent's commitments) and the objective question (what grounds what). Those are different projects, and Sen is running the first while writing as though he is settling something about the second. Good thing to put to the room.

4 What the reply to Robbins actually establishes

§5.4. Robbins, quoted at p. 112:

> If we disagree about ends it is a case of thy blood or mine — or live or let live according to the importance of the difference, or the relative strength of our opponents. But, if we disagree about means, then scientific analysis can often help us to resolve our differences.

Sen's reply: the contrast holds only if ethics deals exclusively in *basic* judgments. For non-basic ones, you can dispute the underlying factual premise or the derivation, and that dispute is scientific. Even granting Hume's Law, prescriptive conclusions can be drawn from factual premises *among others*.

What this establishes is weaker than it is usually taken to be, and Sen says so:

> From this we do not, unfortunately, get a rule to decide when rational disputation is potentially fruitful and when it is not. Non-basicness of a judgment in someone's value system can sometimes be conclusively established, but the opposite is not the case, so it is best to take a given value judgment to be basic to give it, at best, the benefit of the doubt. It seems impossible to rule out the possibility of fruitful scientific discussion on value judgments.

So the conclusion is "we cannot rule out rational argument", not "rational argument is available". Worth asking whether that is enough to answer Robbins. There is also a sense in which Sen talks past him: Robbins was making a claim about the subject matter, and Sen's reply makes tractability depend on contingent facts about the disputants' psychology.

5 The outvoted democrat

§5.5, p. 114. Sen sets it up cleanly:

> An individual A firmly prefers social state x to state y. But he knows that everyone else in the community prefers y to x. And further, individual A is strongly anti-dictatorial. What should he do? If he recommends y, he will be running against his own preference. If he recommends x, he will be violating his anti-dictatorial values.

His structural observation is good: individual values enter the model twice, once in the R_i and once in the choice of CCR, and nothing guarantees the two cohere.

His resolution is: "In general, one or the other set of judgments must be non-basic, possibly both." Then he sketches two extremes. At one end, the CCR judgments are basic and people feel bound by the outcome, which he illustrates with professorial selection committees that take a second vote to make the appointment formally unanimous. At the other end, people are committed to their own ordering and will reject any CCR that does not deliver it, which he illustrates with the French Revolution. Then he goes to Harsanyi's distinction between subjective and ethical preferences, and generalises it to a person's "ethical CCR".

This is a classification, not a resolution, and it is worth saying so. Being told that at least one of two commitments is non-basic does not tell you which, or what to do, or how to think about the case. And there is a specific reason to doubt the diagnosis fits. The basic/non-basic apparatus was built to show where *factual* premises enter a value dispute. But "I should get my way" does not obviously rest on a factual assumption at all. Sen's machinery is being applied to a conflict between two normative commitments, which is not the kind of conflict the machinery was designed to illuminate.

What is missing. This is Wollheim's paradox of democracy, from 1962, eight years before CCSW, and Sen neither cites it nor engages the literature. The sharper version: A holds that x ought to be enacted (his own judgment) and that y ought to be enacted (because the democratic machinery chose it). That is a contradiction, not a tension.

Four responses Sen does not consider, any of which is a better class discussion than his:

1. **Two different propositions.** "x is best on the merits" and "the output of a fair procedure ought to be enacted" are not contradictory; they are answers to different questions. Sen's "ethical CCR" gestures at this without naming it.
2. **Judgment versus compliance.** You can think a decision wrong and also think you ought not resist it. Distinguish "x is right" from "I ought to act to bring x about".
3. **The vote as evidence.** If everyone else disagrees with you, that is evidence you are wrong, and you should update. Then there is no residual conflict. The Condorcet jury theorem is the formal version, and this is the cleanest dissolution for Sen's specific case, where A is outvoted by literally everyone. Sen does not raise it anywhere.
4. **A duty to support just institutions.** The Rawlsian answer. Worth noting that Sen co-taught a seminar with Rawls and Arrow at Harvard in spring 1969, the year before this book, and *A Theory of Justice* appeared the year after it. Put it as a question rather than a charge: why is the obvious Rawlsian move not in the book?

Harsanyi is worth a couple of minutes on its own. Subjective preferences are what you actually want; ethical preferences are what you would want if you thought you had an equal chance of being in anyone's position. That is the veil-of-ignorance structure, in 1955, before Rawls. Sen's footnote 19 flags the crucial detail: you take on the other person's *subjective features including their preferences*, not merely their objective circumstances. Objections deferred to Ch 9.

6 Conditions on choice rules, and why this chapter is here

§5.6 is the payoff, and it is where the chapter earns its place.

May's three conditions, on CCRs that already satisfy independence:

- **Anonymity (A).** Permuting preferences among individuals leaves social preference unchanged. Names do not matter.
- **Neutrality (N).** The rule does not discriminate between alternatives. Descriptions do not matter.
- **Positive responsiveness (S).** If x was socially at least as good as y, and someone's preference shifts in favour of x with no one else changing, then x becomes strictly socially better.

T.5*1 (May 1952). U, A, N and S are necessary and sufficient for a decisive CCR to be the method of majority decision.

This is our first characterisation theorem, and our first result that says what a rule *is* rather than what cannot exist. Then the bad news:

Corollary 5*1.1. No SWF satisfies U, A, N and S. (Majority rule yields intransitive social preference on some profiles.)

T.5*2. No SDF satisfies them either, since majority rule can violate acyclicity, not merely transitivity. Three voters, three alternatives, xP_1yP_1z, yP_2zP_2x, zP_3xP_3y.

The result to spend time on. Weaken positive responsiveness to *non-negative* responsiveness (if x does not fall in anyone's ordering, it must not fall socially), and the picture changes:

T.5*3. For a CCR always yielding a quasi-transitive and complete social preference relation, conditions U, I, P* and A are together necessary and sufficient for the CCR to be the Pareto-extension rule.

Sen's observation at p. 120 is the best thing in the chapter:

> It may also be noted that the difference between the majority rule and the Pareto-extension rule, which are rules in two very different traditions, appears to be rather small in terms of the underlying conditions.

Both satisfy independence, neutrality, non-negative responsiveness, the strict Pareto principle, unrestricted domain and anonymity. The majority rule has positive responsiveness and lacks quasi-transitivity; the Pareto-extension rule has quasi-transitivity and lacks positive responsiveness. That is the entire difference between the most majoritarian rule available and the rule that refuses all distributional judgments.

> A shift from May's 'positive responsiveness' to Arrow's 'positive association' takes us almost all the way from the case of the majority rule to the very different case of the Pareto-extension rule.

The methodological moral, which is why the chapter is placed here:

> These conditions are difficult to judge in isolation and must be viewed along with the other conditions with which they may be combined. Judgments of this kind on the nature of the CCR tend to be non-basic, and it is relevant for us to enquire into the precise circumstances in which these might be used, before we put our signature on the dotted line.

So the basic/non-basic apparatus from §5.3 was being developed in order to say this: our judgments about axioms are themselves non-basic value judgments, revisable once we see what

they imply. That is reflective equilibrium about social choice axioms, written a year before Rawls named it.

7 Unrestricted domain is a different kind of condition

Also §5.6, and a good closing thread because it sets up next class.

> Of these conditions, condition U ... is in a somewhat different logical level from the rest. The other conditions specify or qualify what should be done given certain configurations of individual preferences. Condition U, on the other hand, asserts that the CCR must work for all possible configurations.

And footnote 21, which is worth reading out:

> The Marxist position that people's preferences depend on their class interests would immediately rule out certain preference configurations. In fact, any deterministic theory of individual preferences would tend to restrict the pattern of individual preferences, thereby reducing the need for the condition of unrestricted domain.

So whether U is a reasonable demand depends on your theory of preference formation, which is not a question internal to social choice theory at all. This is the same move as adaptive preferences, which Sen develops much later, and it is the direct setup for single-peakedness next class.

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8 Quotes to have to hand

> In short, a society or an economy can be Pareto-optimal and still be perfectly disgusting.

(Ch 2, but the right epigraph for this chapter.)

On nihilism in welfare economics, quoting Baumol: studies bearing "an ill-concealed resemblance to obituary notices".

On emotivism, quoting Ayer: "in the end there must come a point where one gets no further answer, but only a repetition of the injunction: Value this because it is valuable." Sen's reply is that there is no test for telling whether that point has arrived.

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9 If we have time

Is the basic/non-basic distinction exhaustive? Sen's footnote 13: "It is not asserted here that both the categories must be non-empty." So he allows that there may be no basic value judgments at all. What would follow?

The analogy Sen draws with scientific method (p. 113): treat a judgment as basic until a case shows otherwise, as one treats a factual hypothesis as true until refuted. Does the analogy hold up? Falsification needs a notion of observation, and the corresponding notion here is a reported counterfactual judgment, which is not obviously evidence of the same kind.

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10 Next time

Back on schedule with Ch 10 and single-peakedness. The link: today's last point is that U is a demand about which profiles can arise, and next class is about what happens when you deny it.